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Case Number: 25STCV15924 Hearing Date: September 1, 2026 Dept: 735

Avram Sills

v. Ford Motor Company, et al.

Defendant Ford Motor Company’s

Demurrer to Plaintiff’s First Amended Complaint.

BACKGROUND

On May 5, 2025, Plaintiff Avram Sills (“Plaintiff”) filed a complaint against Defendants Ford Motor Company (“Defendant”) and Santa Monica Ford Lincoln. On September 7, 2020, Plaintiff entered into a warranty contract with Defendant regarding a 2020 Ford Transit manufactured and or distributed by Defendant. On November 14, 2025, Defendant filed the instant demurrer to Plaintiff’s FAC.

DISCUSSION

Defendant demurs to Plaintiff’s first through fourth on the grounds they are barred by the statute of limitations and/or the statute of repose, and the sixth cause of action on the ground it is barred by the three-year statute of limitations, fails to sufficiently plead essential elements of a fraud claim, and is barred by the economic loss rule.

1. First, Second, and Third Causes of Action

Defendant argues Plaintiff's Song-Beverly causes of action are time-barred by the one-year statute of repose under Code of Civil Procedure section 871.21. Defendant further argues Plaintiff's Song-Beverly causes of action are time-barred by the four-year statute of limitations under Commercial Code section 2725. Defendant contends Plaintiff fails to plead facts identifying which express warranties are applicable to his claims and fails to plead the date the applicable warranty expired.

Code of Civil Procedure section 871.21 does not bar Plaintiff's Song-Beverly claims

Code of Civil Procedure section 871.21 requires an action covered by Section 871.20 must be brought within one year of the expiration of the applicable express warranty. Section 871.21 applies only to an action brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter. (Code Civ. Proc., § 871.20, subd. (a).) Unless a manufacturer has made the election, sections 871.20 to 871.28 shall not apply to a Song-Beverly action, including actions already filed between January 1, 2025 and the effective date, with respect to vehicles sold new in 2025 and prior years. (Code Civ. Proc., § 871.30, subd. (c).)

Plaintiff alleges purchasing the Subject Vehicle on September 7, 2020, and the action was filed May 5, 2025. Nothing in the FAC or the moving papers establishes Defendant elected to proceed under this chapter. On this record, sections 871.20 through 871.28 do not apply. Therefore, Plaintiff's first, second, and third causes of action are not time-barred by Code of Civil Procedure section 871.21.

Commercial Code section 2725 does not bar Plaintiff's Song-Beverly claims

A breach of warranty ordinarily occurs, and the cause of action accrues, on tender of delivery, except where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered. (Comm. Code, § 2725, subd. (2).)

A manufacturer's written promise to repair defects during a stated period is the very definition of express warranty of future performance, so accrual is deferred until the buyer discovers, or reasonably should discover, that the manufacturer is unable to conform the vehicle to the warranty after a reasonable number of repair attempts.

Here, Plaintiff alleges presenting the Subject Vehicle on September 23, 2022, March 29, 2024, and April 30, 2025, to Defendant's authorized repair facility with complaints. (FAC ¶¶ 12-14.) Plaintiff alleges Defendant's technician performed repairs and represented the Subject Vehicle had been repaired and was working as designed. (FAC ¶¶ 12-14.) Accepting the allegations as true for purposes of demurrer, it is not affirmatively pleaded that the express-warranty claims accrued more than four years before the May 5, 2025, filing date. When accrual occurred, and whether Plaintiff reasonably should have discovered the breach earlier, presents a factual question not resolvable on demurrer. Therefore, Plaintiff's first, second, and third causes of action are not time-barred by Commercial Code section 2725.

Fourth Cause of Action

Defendant argues the fourth cause of action is time-barred by the four-year statute of limitations in California Commercial Code section 2725. The statute of limitations for an action for breach of implied warranty under the Song–Beverly Act is four years after tender of delivery,¿except where a warranty explicitly extends to future performance of the goods and discovery must wait until the time of the performance, then the cause of action accrues when the breach was, or should have been, discovered.

Plaintiff's fourth cause of action is untimely on the face of the FAC. The implied warranty of merchantability arises by operation of law and does not explicitly extend to future performance. (Comm. Code, § 2725, subd. (2).) Therefore, the warranty accrues at tender. Plaintiff alleges he purchased the Subject Vehicle on September 7, 2020. (FAC, ¶ 7.) Applying the four-year statute of limitations, which began to run on the date of the Subject Vehicle's delivery, the latest Plaintiff could have filed the breach of implied warranty claim is September 7, 2024. Plaintiff filed suit on May 5, 2025.

Plaintiff alleges the breach was discovered shortly before the filing of the complaint. (FAC, ¶ 39.) Plaintiff alleges purchasing the Subject Vehicle as manufactured with the 2.0L engine defect. (FAC, ¶ 10.) Plaintiff alleges he did not become suspicious of Defendant's concealment of latent defects and its inability to repair it until shortly before the filing of the complaint, when the issue persisted following Defendant's representations the Subject Vehicle was repaired. (FAC, ¶ 39.)

However, Plaintiff does not allege specifically when the breach was discovered or when it should have been discovered, only that it was discovered shortly before the filing of the complaint. A plaintiff whose complaint shows on its face that his or her claim would be barred by the applicable statute of limitations, and who intends to rely on the discovery rule to toll the limitations period, must specifically plead facts that show the time and manner of discovery and the inability to have made earlier discovery despite reasonable diligence. Mere conclusory assertions that delay in discovery was reasonable are insufficient and will not enable the complaint to withstand general demurrer. Because Plaintiff has not alleged when he discovered the defect, the Court will not apply the exception to extend the statute of limitations.

Sixth Cause of Action

Defendant argues Plaintiff's sixth cause of action for fraudulent concealment is barred by the three-year statute of limitations in Code of Civil Procedure section 338, subdivision (d). Defendant further argues Plaintiff's sixth cause of action fails to allege facts with the requisite specificity for fraud claims. Finally, Defendant argues Plaintiff's sixth cause of action is barred by the economic loss rule.

The Sixth Cause of Action is not barred by the Code of Civil Procedure section 338 three-year statute of limitations.

The
statute of limitations for a fraud cause of action is three years. (Code Civ. Proc., § 338, subd. (d).) A fraud cause of action is not deemed to have
accrued until the discovery, by the aggrieved party, of the facts constituting
the fraud or mistake. (Code Civ. Proc., § 338, subd. (d).) Thus,¿Plaintiff's
sixth cause of action did not begin to¿accrue¿until Plaintiff
discovered the alleged fraudulent concealment of material facts about the
Subject Vehicle.

However,
the date of Plaintiff's discovery cannot be¿ascertained¿because Plaintiff did
not plead any facts about the specific date of his discovery. Plaintiff alleges that he did not
and could not have discovered Defendant's alleged fraudulent concealment and/or
the Subject Vehicle's defects until shortly before filing the complaint,
but he does not provide a specific date. (FAC, ¶ 39.)

The
Court cannot determine, based on the face of the FAC, that Plaintiff's
fraudulent concealment cause of action is time-barred as a matter of law. Accordingly, Defendant's demurrer is
overruled as to the sixth cause of action on these grounds.

The Sixth Cause of Action fails to
allege facts with the requisite specificity.

Defendant
argues Plaintiff fails to allege with particularity the defect Defendant
allegedly concealed. Defendant further argues Plaintiff fails to allege facts
to establish a duty to disclose.

The
elements of a cause of action for fraudulent concealment are:¿(1) concealment
or suppression of a material fact; (2) by a defendant with a duty to disclose
the fact; (3) the defendant intended to defraud the plaintiff by intentionally
concealing or suppressing the fact; (4) the plaintiff was unaware of the fact
and would have acted differently if the concealed or suppressed fact was known;
and (5) plaintiff sustained damage as a result of the concealment or
suppression of the material fact.

If
the duty to disclose allegedly arose by virtue of the parties' relationship and

defendant's exclusive knowledge or access to certain facts, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. Mere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving¿plaintiff are insufficient.

Here,
Plaintiff has not sufficiently pleaded facts to support a claim for fraudulent inducement – concealment. Plaintiff adequately pleads a concealed material fact under Dhital, but fails to sufficiently plead a duty to disclose.

First,
Plaintiff adequately pleads a concealed material fact. Where the duty is premised on the defendant's exclusive knowledge, the complaint must specifically allege the content of the omitted facts, the defendant's awareness of their materiality, the inaccessibility of the facts to the plaintiff, the point at which the facts should have been revealed, and justifiable and actual reliance.

In Dhital
v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, the Court of Appeal found that the following allegations of defect were adequate for a fraudulent inducement claim: "The CVT is defective in that it causes hesitation from a stop before acceleration; sudden, hard shaking during deceleration; sudden, hard shaking and violent jerking (commonly known as 'juddering' or 'shuddering') during acceleration; and complete failure to function, each and all of which prevent a CVT-equipped vehicle from operating as intended by the driver, especially during acceleration from a complete stop." (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 833–834, 844, review dismissed December 18, 2024.)

Plaintiff's
allegations regarding the alleged engine defect are similar to the Dhital allegations. Plaintiff alleges the
defects include hard or harsh shifts, jerking, lurching, and rough idling and

loss of power. (FAC, ¶ 15.) The Court therefore finds the allegations sufficient alleges the content of the concealed facts.

On the other hand, Plaintiff fails to adequately plead a duty to disclose. Plaintiff alleges he purchased the Subject Vehicle from an independent dealership, SMFL, and that Defendant's dealers are Defendant's agents for vehicle repairs. (FAC, ¶¶ 9, 83.) However, the FAC does not allege SMFL acted as Defendant's agent for the sale.

In Dhital, the Court of Appeal held a manufacturer's duty to disclose known defects was adequately pleaded at the demurrer stage where the buyers alleged they purchased from an authorized dealership, the manufacturer backed the vehicle with an express warranty, and the dealerships were the manufacturer's agents for the sale of vehicles to consumers. (Dhital, supra, 84 Cal.App.5th at pp. 833-834.) Plaintiff does not allege SMFL was an agent of Defendant's for purpose of the sale of the Subject Vehicle.

Here, Plaintiff alleges reviewing Defendant's marketing and advertising materials, viewing Defendant's vehicle-specific window sticker, and taking the Subject Vehicle for a test drive. (FAC, ¶ 10.) Plaintiff argues these allegations are sufficient to plead a transactional relationship giving rise to a duty to disclose. However, the advertising, website, and window-sticker allegations do not, without more, establish the direct dealings required for a duty to disclose. As presently plead, the FAC does not allege facts establishing Defendant's duty to disclose.

Accordingly, Defendant's demurrer is sustained with leave to amend as to the sixth cause of action.

The Sixth Cause of Action is not barred by the economic loss rule.

Defendant argues Plaintiff's sixth cause of action is barred by the economic loss rule. Under the economic loss rule, where a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only 'economic' losses. However, tort damages may be permitted when the breach of contract is accompanied by a tort such as fraud. To plead around the economic loss rule, a party must plead the existence of a duty that arises independent of any contractual duty and independent injury, other than economic loss, that arises from the breach of that duty.

Under California law, the economic loss rule does not bar a claim for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court, and such claims allege fraudulent conduct that is independent of the alleged warranty breaches. (Dhital, supra, 84 Cal.App.5th at p. 843.) In Dhital, the First District Court of Appeal concluded that the economic loss rule did not bar fraudulent inducement by concealment claims arising under the Song-Beverly Act. (Id., at p. 838, 841.) Relevant here, the Court of Appeal held that there is not a liberal pleading standard for fraudulent inducement claims. (Id., at p. 839.)

The Supreme Court recently confirmed that the economic loss rule does not apply to limit recovery for intentional tort claims like fraud. (Rattagan, supra, 17 Cal.5th at p. 38.) A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement. (Ibid.) In light of this, the demurrer is overruled on this ground.

CONCLUSION

Defendant's demurrer is overruled as to the first, second, and third causes of action. Defendant's demurrer is sustained with leave to amend as to the fourth and sixth causes of action.

Defendant to give notice.